What surcharges in addition to rates are included in the attached document

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The attached Joint Proposal document for Consolidated Edison in Cases 25-E-0072 (electric) and 25-G-0073 (gas) includes several surcharges and pass-through mechanisms that are applied in addition to standard base rates. These surcharges cover a wide range of expenses, true-ups, reconciliation processes, and regulatory adjustments.

Key Surcharges and Mechanisms Included

- **Monthly Adjustment Clause (MAC):** This includes specific adjustments and a NYPA Surcharge for supply and supply-related charges.
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Additional Items

- **Deferral and True-Up Mechanisms:** Many operational, regulatory, or capital expense categories feature deferrals, reconciliations, and—where eligible—future recovery via surcharges to customers (e.g., storm recovery costs, taxes, pension funding above forecasts).
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For most surcharges, annual caps are imposed (often no more than 0.5% total bill impact for items like property tax reconciliation or uncollectible accounts), and any excess is deferred for future recovery.

This structure results in many bill components beyond standard delivery and supply rates, enabling the utility to recover or credit costs based on actual expenses, regulatory changes, and events during the rate plan period.

Revenue Decoupling Mechanism (RDM): Regular recalculations and adjustments to account for differences between forecast and actual usage.**PJM OATT Charges:** Related to transmission.

Major Storm Cost Reserve Annual Surcharge: Covers major storm recovery costs exceeding annual rate allowances, with caps defined for electric service in each rate year (between $43–$47 million depending on the year).

Uncollectible Expense and Late Payment Charge (LPC) Surcharge: Annual true-up and surcharges for late payment charges and uncollectible accounts, with a cap at 0.5% of the total bill per commodity.

Property Tax Surcharge/Credit: Variations between projected and actual property taxes are recovered or credited through a surcharge mechanism, with an annual bill impact cap.

Pensions/OPEBs Surcharge: Reconciliation of pension and other post-employment benefits expenses, deferred above or below projected values.

Environmental Remediation Surcharge: Reconciles costs of site investigations and environmental remediation that differ from the forecast.

Municipal Infrastructure Support Surcharge: Adjusts for non-labor municipal infrastructure support costs that vary from the set base.

Congestion Tolling Program Surcharge: Recovery of new congestion charges as they are incurred.

Major Storm Reserve: Annual funding and surcharges for major storm-related costs above the base reserve, subject to caps.

Safety and Reliability Surcharge (Gas only): For specific pipeline and system safety improvements.

Energy Efficiency Surcharge: Certain energy efficiency program costs are now recovered through a separate surcharge rather than base rates.

Other Variable Surcharges: Various mechanisms enable surcharges for adjustments such as taxes, regulatory changes, or other unforeseen expenses as detailed in the proposal.

Appendices Detail: Specific formulae, annual caps, and true-up calculations are detailed in the document's appendices for each surcharge or adjustment scenario.

Surcharges and Appendix Citations

	Surcharge / Mechanism	Service	Where documented in JP / Appendix	What it does (high level) [for testimony]
1	Major Storm Cost / Annual Storm Surcharge	Electric	Main JP: §E.15 ("Major Storm Cost Reserve") and §B.1.a (MAC component 11); Appendix 7 – Electric Reconciliation Targets, Major Storm Reserve and related carrying-charge section	Recovers annual storm costs above 7M up to annual caps via a MAC surcharge; includes interest at Other Customer-Provided Capital Rate.
2	Property Tax Reconciliation Surcharge	Electric	Main JP: §E.1 (Property Taxes Electric and Gas); §B.1.a (MAC component 23); Appendix 7 – property tax true-up target and carrying-charge lines	Charges/credits customers for difference between actual property tax expense and amounts in base rates through MAC.
3	Uncollectible Expense / Late Payment Fee Reconciliation Surcharge	Electric	Main JP: §E.10; §B.1.a (combined MAC components 20 & 21); Appendix 7 – reconciliation targets and carrying-charge rates for uncollectibles/LPC	Reconciles actual uncollectible expense and late payment fee revenues to targets; difference is recovered/refunded via MAC.
4	Legislative / Regulatory Change Surcharge (new MAC component 7)	Electric	Main JP: §B.1.a.iv; §Q.2 (Legislative, Regulatory and Related Actions); Appendix 7 – carrying-charge rates for deferrals	Recovers revenue impacts from new or changed laws, regulations, orders, or court decisions via MAC component 7.
5	Revenue Decoupling Mechanism (RDM) Surcharge	Electric	Main JP: §B.1.b; §N.6 (EAP cost recovery linkage); Appendix 4 – Electric Revenues / RDM Targets; Appendix 7 – carrying-charge rates	Compares actual delivery revenues to RDM targets; differences are deferred with interest and flowed back as RDM surcharges/surcredits.
6	Non-Wires Alternative (NWA) Adjustment	Electric	Main JP: §D.1.d ("NWA Adjustment Mechanism"); §E.16 ("NWA Electric"); Appendix 7 – true-up and carrying-charge parameters; Appendix 11 – capital reporting used in revenue calc	Recovers costs of new NWA projects (not in base rates) over 10 years via MAC/NYPA OTH Statement, net of avoided plant carrying charges.
7	Safety and Reliability Surcharge Mechanism	Gas	Main JP: §E.30 ("Safety and Reliability Surcharge Mechanism Gas"); Appendix 12 – Safety and Reliability Surcharge Mechanism (entire appendix, including example revenue calc)	Allows specified incremental "safety and reliability" capital to be recovered between rate cases via a temporary gas surcharge rider.
8	Non-Pipeline Alternative (NPA) Adjustment	Gas	Main JP: §D.2.c ("NPA Adjustment Mechanism"); §L.3 (Non-Pipeline Alternatives); Appendix 8 – reconciliation targets/carrying charges used for NPA revenue requirement	Treats NPA costs as a regulatory asset, recovered over 20 years via the Monthly Rate Adjustment (MRA), net of any avoided plant carrying charges.
9	Revenue Decoupling Mechanism (RDM) Surcharge	Gas	Main JP: §B.2.a; §N.6 (EAP cost recovery linkage); Appendix 5 – Gas Revenues / RDM Targets; Appendix 8 – carrying-charge rates	Compares actual gas delivery revenues to class targets; differences are collected/refunded through an RDM rider on gas bills.
10	MRA (Monthly Rate Adjustment) Reconciliation Surcharges	Gas	Main JP: §B.2.b (Gas Cost Factor Monthly Rate Adjustment); §E.10 (Uncollectible Expense and LPC Reconciliation); Appendix 6 – LAUF; Appendix 8 – reconciliation targets and carrying charges	Aggregates several gas reconciliations (e.g., uncollectibles, certain taxes, LAUF-related items) and recovers or refunds them as periodic surcharges/surcredits.
11	Gas Cost Factor (GCF) and DDS Adjustments	Gas	Main JP: §B.2.b ("Gas Cost Factor Monthly Rate Adjustment"); §B.2.e ("Other Charges" for gas); Appendix 6 – LAUF methodology affecting commodity recovery	Recover commodity and related supply costs; variances from forecasted costs are trued-up and reflected prospectively, functioning as fuel/supply surcharges.
12	Energy Affordability Program (EAP) Recovery	Electric & Gas	Main JP: §N.6 ("Cost Recovery" Electric and Gas); §B.1.b and §B.2.a (RDM sections); Appendix 4 (electric) and Appendix 5 (gas) – RDM targets; Appendix 7 & 8 – carrying charges	EAP program costs are reconciled and recovered through the electric and gas RDMs, so under- or over-collections show up as RDM surcharges/surcredits.